

Retention / Churn Cohort

SLIBRARY 08 · SHEET 2 / 5

AI lift on customer retention over time

PROFESSIONAL DEFINITION

A Retention/Churn Cohort analysis tracks groups of customers acquired in the same period over time, revealing how retention decays and where AI-driven interventions lift it.

WHO DEVELOPED IT

A standard analytics technique in subscription and product analytics, formalised through cohort-analysis and customer-lifetime-value practice.

WHY IT WAS DEVELOPED

It was developed to expose retention dynamics hidden by aggregate metrics, isolating the effect of changes over the customer lifecycle.

FIGURE 1 · RETENTION / CHURN COHORT

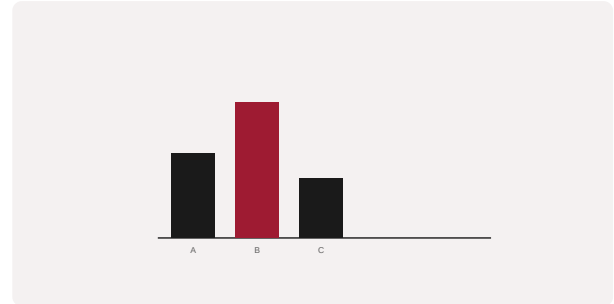


Figure 1. A schematic of the Retention / Churn Cohort as applied in BARBM312 (illustrative).

HOW IT IS USED

Cohorts are plotted over time; AI interventions (personalisation, churn prediction) are evaluated by their lift on later-period retention.

WHEN IT IS USED

When measuring AI's impact on retention and diagnosing churn.

BY WHOM IT IS USED

Growth, CX and analytics teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It provides a clean, time-aware view of retention that attributes change to interventions rather than noise.

RELATED FRAMEWORKS IN THIS COURSE

CAC : LTV Ratio · Slibrary 8

Pirate Metrics (AARRR) · Slibrary 8

Net Revenue Retention · Slibrary 8

Growth Loop · Slibrary 8

SOURCES (HARVARD REFERENCING STYLE)

Fader, P.S. and Hardie, B.G.S. (2009) 'Probability models for customer-base analysis', Journal of Interactive Marketing, 23(1).

Reichheld, F.F. (1996) The Loyalty Effect. Boston: HBS Press.